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Political Turmoil and Natural Catastrophe, 2007–2008

Following the relocation of the capital to Naypyidaw in late 2005, the political system in Myanmar seemed to be in a holding pattern. The regime, however, was drifting further out of touch with the average citizen. On August 15, 2007, the Myanmar authorities unexpectedly removed all subsidies on fuel and natural gas prices as well as basic commodities. The increase of natural gas prices in some places was an astronomical 500 percent. Fuel and diesel costs doubled. This had a devastating impact on the already significantly impoverished population in Myanmar. This increase shocked the citizens of Myanmar, threatening the livelihood of the majority of the population. An earlier price hike in 2005 did not spark any protests, giving the regime a sense of confidence in pushing through an additional hike. The results were far different. A spontaneous outbreak of protests occurred as a result. A larger percentage of the population was living at or below the subsistence level in 2007. Wages were not increasing to keep up with the growing rate of inflation. Many of the workers were falling below the subsistence level. The laborers who commuted long distances to the urban areas were devastated as the price of bus tickets, taxis, and other forms of transportation were hit the hardest. Also the fuel needed for cooking increased substantially.

The spike in fuel prices led to numerous protests. On August 19, an estimated 500 people gathered for a march in Tamwe township of Rangoon to protest the fuel price increase. Prominent “Burma Watch Groups” claimed that this was the largest public demonstration in years. The 88-generation pro-democracy activists mostly organized the early protests. On August 21, the government responded by arresting prominent activists, targeting most of the leadership of the 88-generation student movement. By